

Tencent Holdings 0700.HK 700 HK

EQUITY: INTERNET & NEW MEDIA

2Q26F: margin likely under pressure on AI investment

AI initiatives show promise, yet it is premature to declare victory; maintain Buy

2Q26F: Expecting in-line revenue and slightly lower profits; maintain Buy

For 2Q26F, we forecast a 10% y-y increase in revenue to CNY203bn, in line with the Bloomberg consensus forecast. We estimate non-IFRS net profit rose 6% y-y to CNY67bn, 3% below the consensus of CNY69bn. Our forecast non-IFRS operating margin (OPM) retreated 0.4pp y-y to 37.1% due to ramped-up AI investments, slightly below the consensus of 37.4% (Fig. 1).

Across business segments, online gaming likely rose 10% y-y to CNY65.3bn, backed by an 11% y-y increase in domestic gaming and an 8% y-y increase in overseas gaming revenue. Advertising revenue likely increased 18% y-y, driven by Video Account ads. The fintech and business segment (FBS) likely increased 9% y-y, of which business segment revenue likely rose 22% y-y, accelerating from 20% in 1Q26, driven by the Tencent Cloud business.

We trim FY26 and FY27 non-IFRS net profit estimates by 2% and 1%, respectively, reflecting our lowered margin assumptions as we consider its ongoing AI investments. We maintain our Buy rating with an unchanged sum-of-the-parts (SOTP) based target price of HKD727, implying an FY27F P/E of 20x, versus the current 12.7x.

Hy LLM, WorkBuddy, and WeChat agent highlight Tencent's core AI strategy

Tencent has made encouraging progress on the AI front over the past few months. The company launched the official version of Hy 3.0 in early July, which has been widely recognized by developers for its meaningful improvements over the April preview version. The preliminary success of Hy 3.0 reinforces our view that Tencent is well-positioned to close the gap with current AI leaders.

WorkBuddy has gained impressive traction with white-collar and student users. Analysys, a third-party research firm, reported that WorkBuddy was the most popular desktop AI agent in China as of March 2026, with monthly visits reaching 8.85mn. However, the survey also noted a highly crowded field, as major AI platforms—notably Alibaba (BABA US, Buy) and ByteDance (unlisted) — have all launched competing desktop agents. Competition will likely remain fierce in the coming months, given that Chinese online consumers typically exhibit low switching costs and a lower willingness to pay. Currently, no desktop agent has established a definitive lead among enterprise users.

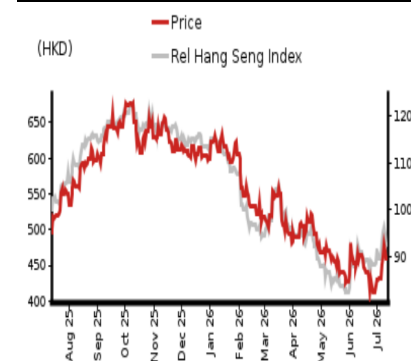
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Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	751,766	828,516	827,308	906,572	905,255	990,470	989,061	
Reported net profit (mn)	224,842	233,794	229,418	251,553	247,467	273,814	272,640	
Normalised net profit (mn)	259,626	278,671	274,240	302,018	297,871	330,434	329,195	
FD normalised EPS	27.89	30.24	29.76	33.10	32.65	36.58	36.45	
FD norm. EPS growth (%)	18.6	8.4	6.7	9.5	9.7	10.5	11.6	
FD normalised P/E (x)	15.2	—	13.9	—	12.7	—	11.3	
EV/EBITDA (x)	14.0	—	12.8	—	11.3	—	10.0	
Price/book (x)	3.3	—	2.7	—	2.4	—	2.1	
Dividend yield (%)	1.1	—	1.2	—	1.3	—	1.5	
ROE (%)	21.1	18.4	18.1	16.9	16.7	16.1	16.1	
Net debt/equity (%)	9.7	1.1	1.5	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	HKD 727.00
Closing price 10 July 2026	HKD 460.20
Implied upside	+58.0%
Market Cap (USD mn)	533,748.6
ADT (USD mn)	1,873.0

Relative performance chart



Source: LSEG, Nomura

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Key data on Tencent Holdings

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-1.2	-8.8	-7.3	M cap (USDmn)	533,748.6
Absolute (USD)	-1.2	-8.9	-7.2	Free float (%)	60.0
Rel to Hang Seng Index	-0.2	-2.1	-7.9	3-mth ADT (USDmn)	1,873.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	660,257	751,766	827,308	905,255	989,061
Cost of goods sold	-311,011	-329,173	-354,198	-383,934	-418,827
Gross profit	349,246	422,593	473,111	521,321	570,235
SG&A	-121,919	-143,143	-179,383	-202,621	-217,423
Employee share expense	-27,230	-34,711	-38,199	-41,798	-45,668
Operating profit	200,097	244,739	255,529	276,902	307,144
EBITDA	256,310	310,767	321,713	349,323	386,269
Depreciation	-27,332	-32,799	-24,819	-27,158	-29,672
Amortisation	-28,881	-33,229	-41,365	-45,263	-49,453
EBIT	200,097	244,739	255,529	276,902	307,144
Net interest expense	3,557	3,453	4,133	4,887	5,723
Associates & JCEs	25,176	23,740	18,674	18,829	18,829
Other income	8,468	-4,851	2,600	2,600	2,600
Earnings before tax	237,298	267,081	280,936	303,219	334,297
Income tax	-45,018	-47,448	-54,518	-58,752	-64,656
Net profit after tax	192,280	219,633	226,418	244,467	269,640
Minorities	-2,394	-4,959	-3,000	-3,000	-3,000
Other items	32,817	44,952	50,822	56,404	62,555
Preferred dividends					
Normalised NPAT	222,703	259,626	274,240	297,871	329,195
Extraordinary items	-28,630	-34,784	-44,822	-50,404	-56,555
Reported NPAT	194,073	224,842	229,418	247,467	272,640
Dividends	-37,907	-44,041	-46,105	-50,584	-56,467
Transfer to reserves	156,166	180,801	183,313	196,884	216,173

Valuations and ratios

Reported P/E (x)	20.7	17.6	16.6	15.2	13.7
Normalised P/E (x)	18.1	15.2	13.9	12.7	11.3
FD normalised P/E (x)	18.1	15.2	13.9	12.7	11.3
Dividend yield (%)	1.0	1.1	1.2	1.3	1.5
Price/cashflow (x)	15.6	13.0	12.1	9.9	10.6
Price/book (x)	4.1	3.3	2.7	2.4	2.1
EV/EBITDA (x)	16.9	14.0	12.8	11.3	10.0
EV/EBIT (x)	21.7	17.8	16.1	14.3	12.5
Gross margin (%)	52.9	56.2	57.2	57.6	57.7
EBITDA margin (%)	38.8	41.3	38.9	38.6	39.1
EBIT margin (%)	30.3	32.6	30.9	30.6	31.1
Net margin (%)	29.4	29.9	27.7	27.3	27.6
Effective tax rate (%)	19.0	17.8	19.4	19.4	19.3
Dividend payout (%)	19.5	19.6	20.1	20.4	20.7
ROE (%)	21.8	21.1	18.1	16.7	16.1
ROA (pretax %)	14.8	15.1	13.9	13.9	14.2

Growth (%)

Revenue	8.4	13.9	10.0	9.4	9.3
EBITDA	19.6	21.2	3.5	8.6	10.6
Normalised EPS	44.5	18.6	6.7	9.7	11.6
Normalised FDEPS	44.5	18.6	6.7	9.7	11.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	256,310	310,767	321,713	349,323	386,269
Change in working capital	22,863	-20,825	-16,538	60,870	-9,268
Other operating cashflow	-20,652	13,110	10,133	-29,448	-24,410
CF from operations	258,521	303,052	315,308	380,745	352,590
Capital expenditure	-62,927	-87,482	-115,823	-135,788	-148,359
Free cashflow	195,594	215,570	199,485	244,956	204,231
Reduction in investments	-6,994	-43,824	0	0	0
Net acquisitions					
Dec in other LT assets	-180,662	-79,119	-61,422	-62,493	-63,608
Inc in other LT liabilities	-17,721	158	21,834	24,848	28,298
Adjustments	146,117	4,535	-24,001	-28,671	-33,940
CF after investing acts	136,334	97,320	135,897	178,639	134,981
Cash dividends	-31,244	-39,907	-44,041	-46,105	-50,584
Equity issue	1,932	2,721	0	0	0
Debt issue	-107	-107	0	0	0
Convertible debt issue	0	0	0	0	0
Others	-146,716	-51,505	0	0	0
CF from financial acts	-176,135	-88,798	-44,041	-46,105	-50,584
Net cashflow	-39,801	8,522	91,856	132,535	84,398
Beginning cash	172,320	132,519	141,041	232,897	365,431
Ending cash	132,519	141,041	232,897	365,431	449,829
Ending net debt	76,123	112,156	20,300	-112,234	-196,632

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	132,519	141,041	232,897	365,431	449,829
Marketable securities	192,977	236,801	236,801	236,801	236,801
Accounts receivable	48,203	49,930	54,334	59,753	64,895
Inventories	440	530	530	530	530
Other current assets	122,041	167,158	167,158	167,158	167,158
Total current assets	496,180	595,460	691,719	829,674	919,213
LT investments	0	0	0	0	0
Fixed assets	80,185	149,905	240,909	349,540	468,227
Goodwill					
Other intangible assets	196,127	205,999	193,589	180,011	165,175
Other LT assets	1,008,503	1,087,622	1,149,044	1,211,537	1,275,144
Total assets	1,780,995	2,038,986	2,275,261	2,570,761	2,827,759
Short-term debt	52,885	42,618	42,618	42,618	42,618
Accounts payable	118,712	121,127	92,362	139,050	113,393
Other current liabilities	225,312	249,006	265,636	285,238	306,768
Total current liabilities	396,909	412,751	400,616	466,906	462,779
Long-term debt	149,521	208,369	208,369	208,369	208,369
Convertible debt	6,236	2,210	2,210	2,210	2,210
Other LT liabilities	174,433	174,591	196,425	221,272	249,570
Total liabilities	727,099	797,921	807,620	898,757	922,929
Minority interest	80,348	86,913	89,913	92,913	95,913
Preferred stock					
Common stock	81,518	143,716	143,716	143,716	143,716
Retained earnings	854,123	966,395	1,187,907	1,384,791	1,608,734
Proposed dividends	37,907	44,041	46,105	50,584	56,467
Other equity and reserves					
Total shareholders' equity	973,548	1,154,152	1,377,728	1,579,090	1,808,918
Total equity & liabilities	1,780,995	2,038,986	2,275,261	2,570,761	2,827,759

Liquidity (x)

Current ratio	1.25	1.44	1.73	1.78	1.99
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	0.30	0.36	0.06	net cash	net cash
Net debt/equity (%)	7.82	9.72	1.47	net cash	net cash

Per share

Reported EPS (CNY)	20.49	24.15	24.89	27.12	30.18
Norm EPS (CNY)	23.51	27.89	29.76	32.65	36.45
FD norm EPS (CNY)	23.51	27.89	29.76	32.65	36.45
BVPS (CNY)	105.03	127.04	151.65	173.81	199.11
DPS (CNY)	4.09	4.85	5.07	5.57	6.22

Activity (days)

Days receivable	26.2	23.8	23.0	23.0	23.1
Days inventory	0.5	0.5	0.5	0.5	0.5
Days payable	128.9	133.0	110.0	110.0	110.3
Cash cycle	-102.2	-108.6	-86.5	-86.5	-86.8

Source: Company data, Nomura estimates

Company profile

Tencent provides a wide range of services, including gaming (including PC games and mobile games), other value added services (e.g. video entertainment), online advertising, fintech and business services (including payment and cloud services). Tencent also operates WeChat, China's largest messaging app.

Valuation Methodology

We value Tencent's online gaming business at USD282bn (FY26F P/E of 18x), online advertising business at USD236bn (FY26F P/E of 20x), Fintech business at USD169bn (FY26F P/E of 15x), and Cloud business at USD40bn (FY26F P/S of 5x). We value investees at USD106bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

ESG

Tencent's business is environmental friendly as it does not cause pollution or generate greenhouse gas. Its social ecosystem is creating massive business opportunities for content creators and merchants. Tencent maintains good corporate governance practices, including easy access for investors and proper disclosures.

(... continued from page 1)

Tencent's WeChat team is currently piloting a WeChat-based agent capable of calling mini-program service providers using natural language processing. We view this agent as a distinct competitive advantage, as the WeChat ecosystem remains inaccessible to Tencent's AI competitors. While we are positive on the WeChat agent's long-term potential, we believe the market should remain patient regarding a full rollout, as product performance will require time for refinement. Furthermore, WeChat's user base of over 1bn implies that a full deployment would lead to a massive surge in compute resource consumption, which could place further strain on Tencent's current chip constraints.

In our view, the WeChat agent may place Tencent's other AI application, Yuanbao, in an awkward strategic position. Yuanbao is positioned as a general-purpose AI chatbot but currently lags behind peers such as ByteDance's Doubao, DeepSeek (unlisted), and Alibaba's Qwen, in our view. Currently, the WeChat team grants Yuanbao partial access to select properties, such as official account articles and short-video content from Video Accounts. We anticipate that the WeChat agent will eventually become the default in-app AI assistant for WeChat. In our view, without the exclusive and full support from WeChat resources, narrowing the gap with rival chatbots could prove difficult for Yuanbao.

Fig. 1: Tencent – 2Q26F results preview

2Q26F results preview							
CNYmn	2Q26F	1Q25	2Q25	YoY	QoQ	Cons.	vs. Cons.
Revenues	203,017	196,458	184,504	10%	3%	203,855	-0.4%
Gross profit	117,372	111,265	105,013	12%	5%	116,552	0.7%
Gross margin	57.8%	56.6%	56.9%	0.9ppt	1.2ppt	57.2%	0.6ppt
Non-IFRS op	75,358	75,627	69,248	9%	0%	76,162	-1.1%
Non-IFRS op margin	37.1%	38.5%	37.5%	-0.4ppt	-1.4ppt	37.4%	-0.2ppt
Non-IFRS net profit	67,014	67,905	63,052	6%	-1%	69,148	-3.1%
Non-IFRS net margin	33.0%	34.6%	34.2%	-1.2ppt	-1.6ppt	33.9%	-0.9ppt
Non-IFRS EPS (CNY)	7.30	7.36	6.79	7%	-1%	7.53	-3.2%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Tencent – revenue mix

Revenue mix						
CNYmn	2Q26F	1Q25	2Q25	YoY	QoQ	% of total rev.
Value Added Service (VAS)	98,427	96,110	91,368	8%	2%	48%
Online gaming business	65,298	64,200	59,200	10%	2%	32%
Incl. domestic online gaming	44,994	45,400	40,400	11%	-1%	22%
overseas online gaming	20,304	18,800	18,800	8%	8%	10%
Marketing Services	42,199	38,171	35,762	18%	11%	21%
FinTech and Business Services	60,534	59,885	55,536	9%	1%	30%
Others	1,856	2,292	1,838	1%	-19%	1%
Total revenue	203,017	196,458	184,504	10%	3%	100%

Source: Company data, Nomura estimates

Fig. 3: Tencent – Revisions to our earnings estimates

Nomura new estimates vs old						
(CNYmn except for EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenues	827,308	828,516	0%	905,255	906,572	0%
Gross profit	473,111	473,860	0%	521,321	523,095	0%
Gross margin	57.2%	57.2%	0.0ppt	57.6%	57.7%	-0.1ppt
Non-IFRS op	298,913	304,363	-2%	323,199	328,294	-2%
Non-IFRS op margin	36.1%	36.7%	-0.6ppt	35.7%	36.2%	-0.5ppt
Non-IFRS net profit	274,240	278,671	-2%	297,871	302,018	-1%
Non-IFRS net margin	33.1%	33.6%	-0.5ppt	32.9%	33.3%	-0.4ppt
Non-IFRS EPS (CNY)	29.76	30.24	-2%	32.65	33.10	-1%

Source: Nomura estimates

Fig. 4: Tencent – SOTP valuation

USD mn unless otherwise stated	Market cap	Stake	Attributable valuation	Note
Core business				
Online gaming	281,744	100%	281,744	18x FY26F P/E
Advertising	235,781	100%	235,781	20x FY26F P/E to capture Tencent's potential in search and short video ads
Fintech	169,166	100%	169,166	15x FY26F P/E
Tencent Cloud	40,424	100%	40,424	5x FY26F P/S
Total			727,114	
Gross value from investees			132,000	
Holding discount			20%	
Attributable value from investees			105,600	
Total EV			832,714	
Net Cash			20,980	
Target market cap			853,694	
Share counts			9,216	
Target price (HKD)			727	

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 460.20	10-Jul-2026	Buy	N/A	A1,A3,A10

A1 The Nomura Group has received compensation for non-investment banking products or services from the subject company in the past 12 months.

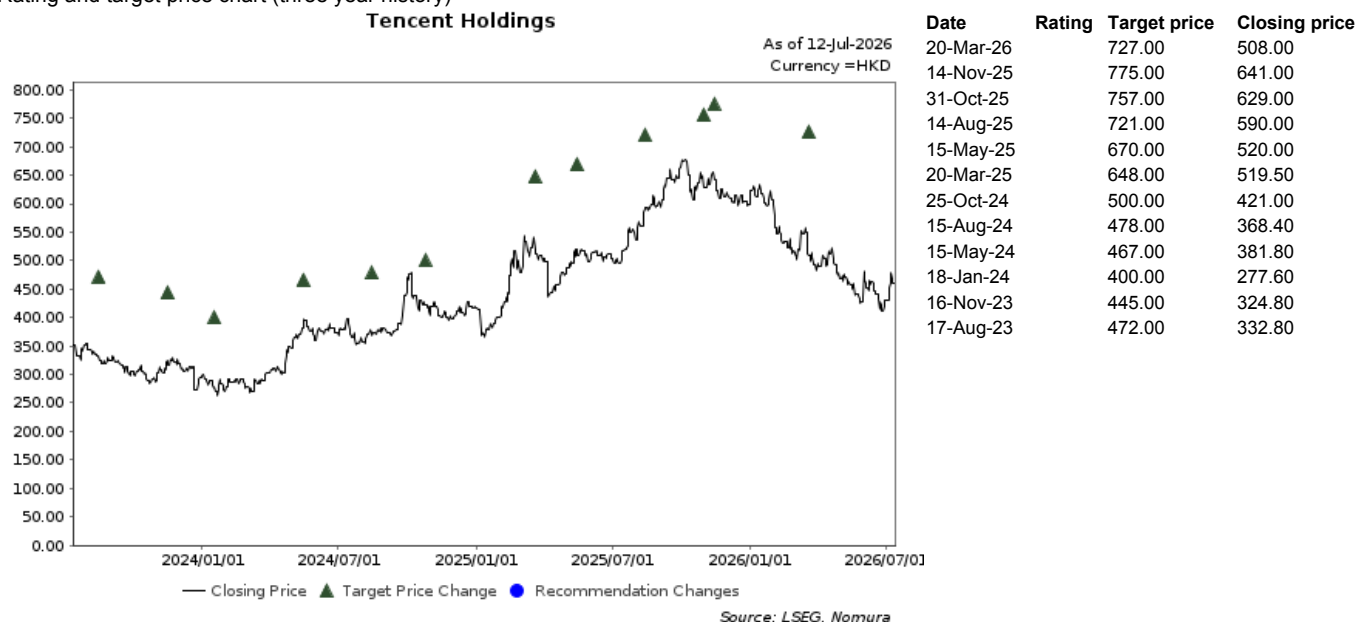
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Tencent Holdings (700 HK)

HKD 460.20 (10-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Tencent's online gaming business at USD282bn (FY26F P/E of 18x), online advertising business at USD236bn (FY26F P/E of 20x), Fintech business at USD169bn (FY26F P/E of 15x), and Cloud business at USD40bn (FY26F P/S of 5x). We value investees at USD106bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

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STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

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Target Price

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